GETBUCKS MICROFINANCE BANK LIMITED

Versus

WALTER MAGAYA (born 6th November 1983, ID NO. 59-062334N24)

And

TENDAI MAGAYA (born 22nd August 1984, ID No.63-1246087A63)

And

THE MASTER OF THE HIGH COURT NO.

And

NOREEN CHIKAKA NO.

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE J
HARARE 18 February & 3 August 2026

Opposed Application

R.T Mutero with *S. Musapatika* for applicant
A. Kadye for 1st & 2nd respondent
No appearance for 3rd & 4th respondent

CHILIMBE J

BACKGROUND

[1] The applicant ("Getbucks") is a microfinance lender registered and incorporated under of the laws of Zimbabwe. It seeks a provisional order for the placement of the estates of first and second respondents ("Mr and Mrs Magaya") under liquidation in terms of s 6 (1) of the Insolvency Act [Chapter 6:07] ("the Insolvency Act") over a debt of US$420.140.72.

REQUIREMENT TO FURNISH DEBTOR`S PARTICULARS IN TERMS OF S 6 OF THE INSOLVENCY ACT

[2] In a rather curious anachronism, Getbucks` s Company Secretary and deponent to the founding affidavit, Mr Muchineripi Chingwendere, claimed that the further and better particulars of Mr and Mrs Magaya were unknown to the applicant. This averment becomes untenable for a number of reasons.

[3] Firstly, Getbucks is, by the definition in s 2 of the Money Laundering and Proceeds of Crime Act [Chapter 9:24], a financial institution obliged to exercise the greatest of due diligence under Part I and Part II of Chapter III of that Act, in capturing the details of the directors of its customers such as Mr and Mrs Magaya.

[4] Secondly, the procedure governing the present application is set out in s 6 of the Insolvency Act. Subsections (3) and (5) of s 6 requires an applicant to set out the details of the debtor as follows; -

> (3) An application contemplated in subsection (1) must—
> (*a*)……...
> (*b*) in the case of a natural person—
> (i) **state the full name and if known the date of birth of the debtor and, if an identity number has been assigned to him or her, that identity number** and, in the case of any other debtor, the registration number or other reference number which has been assigned to such debtor and, if no such registration number or reference number exists, this fact shall be stated;
> (ii) **any other names under which the debtor traded;**
> (iii) **in the case of a natural person, provide the marital status of the debtor if known**;
> (iv) state the amount, cause and nature of such claim;
> (v) state whether or not security has been given for the claim and if so, the nature and value of the security;
> (vi) state the circumstance on which the application is founded.
> (4) The allegations in the application must be supported by an affidavit and the application must be ac-companied by a certificate of the Master, issued not more than 14 days before the date on which the application is to be heard by the Court that sufficient security has been given for the payment of all costs in respect of the application that might be awarded against the applicant.
> **(5) The particulars in paragraph (*b*)(i) and (ii) must appear also in the heading of the application and if the applicant is unable to furnish all such particulars he or she must mention the reason why he or she is unable to do so.**

The said particulars were in any event, inserted after the citation of the respondents in the application before the court as; **Walter Magaya born 6th November 1983, ID NO. 59-062334N24, and Tendai Magaya born 22nd August 1984, ID No.63-1246087A63.**

[5] Thirdly, s 3 of the Insolvency Act founds the basis of an application of this nature. The provision defines or deems what constitutes failure by a debtor to meet its obligations-the very allegation made against Mr and Mrs Magaya by Getbucks. It is inconceivable that Getbucks would proceed to make such a drastic allegation against persons whose affairs, down to further and better particulars, are to it unknown.

[6] Lastly, and in any event, Mr Chingwendere abandoned his apparent lack of knowledge of the said particulars in the emphatic averments set out in the subsequent paragraphs of his founding affidavit. He rendered the very further and better particulars of Mr and Mr Magaya whose ignorance he had earlier professed.

[7] I raise these issues to caution litigants and legal practitioners on the need to pay heed to the procedural requirements set out in the Insolvency Act. The cause of action, in many instances, is reposed in those very procedures.

THE DISPUTE BETWEEN THE PARTIES

[8] It is common cause that Mr and Mrs Magaya were directors in Planet Africa (Pvt) Ltd, ("Planet Africa"), the principal debtor in the underlying transaction. Mr Magaya is also recognised in the papers before me, as the founder of "a religious entity" known as PHD Ministries

[9] Sometime in 2024, Mr and Mrs Magaya issued guarantees in favour of Getbucks over a loan advanced by the latter to Panet Africa. Whilst there is some consternation on the part of Mr Magaya over a number of developments between himself, Mrs Magaya and Planet Africa on one hand, and Getbucks on the other, we can safely accept that Planet Africa defaulted on its obligation.

[10] It is further common cause that Getbucks thereafter instituted proceedings against Planet Africa, Mr Magaya, and Mrs Magaya for recovery of the loan amount. This court, per MAFUSIRE J (as he then was) issued the following order in case number HCHC 657/24 on 9 October 2024; -

1. Judgment for provisional sentence in the sum of US$420 140-72 is hereby granted in favour of the plaintiff against the defendants jointly and severally, the one paying the others to be absolved, together with interest thereon at the rate of 10% per month from 11 September 2024 to the date of payment in full.

2. The first defendant's immovable property known as certain piece of land situate in the district of Salisbury called the Remainder of Stand 166 of Prospect measuring 3, 2323 hectares held under deed of transfer No 4076/2018 and dated 27 July 2018 is hereby declared specially executable.

3. The irrevocable special power of attorney issued by the first defendant to the plaintiff on 8 March 2024 authorizing Atherstone & Cook legal practitioners and any of their partners to sell and transfer the property above is hereby confirmed and declared specially executable.

4. The defendants shall pay, jointly and severally, the one paying the others to be absolved, the plaintiff's costs of suit on a legal practitioner and client scale, and collection commission in accordance with the Law Society of Zimbabwe by-laws.

[11] It is not in dispute herein that the above judgment is extant and remains unsatisfied. Getbucks' s case is that efforts to execute on the judgment debtors were fruitless. Mr Chingwendere made the following averments; -

i. Attachment of Mr and Mrs Magaya`s movable property at their place of residence in Mt Pleasant, Harare was intercepted by a successful interpleader mounted by the Walter Magaya Family Trust-founded and settled by Mr Magaya.

ii. Attachment of movables located at an address in Waterfalls, Harare were "claimed" by PHD Ministries, the religious institution founded by Mr Magaya.

iii. Attachment of an immovable property being Remainder of Stand 166 of Prospect measuring 3, 2323 hectares held under deed of transfer No 4076/2018, was frustrated by commencement, (a few days before the sale in execution) of corporate rescue proceedings for Planet Africa, the registered title holder.

iv. The Sheriff issued a nulla bona return following further efforts to attach property to satisfy the judgment debt.

v. Statutory demands issued against Mr and Mrs Magaya in terms of s 3 (2) (a) of the Insolvency Act yielded no respite.

vi. The two judgment debtors were intransigent and were either concealing their property or bereft of any.

[12] Getbucks therefore alleged that Mr and Mr Magaya`s conduct constituted acts of insolvency as defined in the Insolvency Act. An order of liquidation would deliver a number of benefits. The two judgment debtors would be prevented from accumulating further debt to the prejudice of other creditors. They would also be stopped from surreptitiously disposing of their assets or even skipping the jurisdiction. In addition, the liquidator would be able to trace and secure the debtors` assets for the benefit of creditors.

[13] Mr Chingwendere entreated the court to confiscate the two judgment debtors` passports to stop them from fleeing. He went so far as to suggest that in any event, insolvent persons were not deserving of passports. Section 14 (6) of the Insolvency Act does provide for the surrender of a debtor`s passport but on the grounds stated rather than on the solvency status of the holder. The proposition was not however neither persisted with in the draft order nor in argument.

[14] Getbucks cited the third and fourth respondents in their respective official capacities. The third respondent being the officer of court enjoying jurisdiction over insolvent persons or estates, and fourth respondent as the nominee curator. As such, the third and fourth respondents are not before the court.

THE OPPOSITION

[15] Mr and Mrs Magaya spiritedly recriminated with vehemence. The opposing affidavit deposed to by Mr Magaya on behalf of both parties bristled with indignant epithets and attacked the application as "*misconceived"*, "*without merit", "punitive*" and *"baseless and inflammatory".* I refer to a few excerpts[1]; -

i. "The present application is nothing but a fishing expedition, that is intended to corner the 2nd Respondent and myself into divulging the whereabouts of our assets in circumstances where no sincere or diligent search has been done for same. Regards must be also be had to the fact that the principal debtor is currently under corporate rescue."

[1] Paragraph 5.3 of the opposing affidavit at page 43.

ii. "In any event, the Applicant`s gripe with the 2nd Respondent and myself is that it has failed to diligently locate our properties and is now punishing us for failing to hold its hands and directing it to where it should cast its nets."[2]

iii. "Peradventure, the applicant expects to be hand-held to where our assets are and that is untenable"[3]

[16] Mr Magaya dismissed the allegations that he had, together with Mrs Magaya, frustrated execution of the court judgment. What transpired, according to his account, is that execution was met by the legitimate exercise of legal rights under the interpleader procedure. He dwelt on the corporate rescue proceedings regarding Planet Africa describing them as another lawful process that had nothing to do with frustrating execution.

[17] He disputed that the present liquidation proceedings would deliver any benefit to creditors. He denied that the two judgment debtors were concealing their assets. They were prominent members of society whose proud business and charitable track record demonstrated their transparency and considerable means. Lastly, Mr Magaya emphatically denied that statutory demands were served upon him and Mrs Magaya. These fervent averments were on the whole, dismissed by Getbucks in the answering affidavit.

ARGUMENTS BEFORE THE COURT: IN LIMINE.

[18] At the commencement of oral argument, Mr *Kadye*, counsel for, Mr and Mrs Magaya moved 2 points *in limine*. I disallowed both and furnished reasons ex tempore. Hereunder the points and fuller reasons for their dismissal.

(i) Request of a stay of the matter pending an application for rescission of the judgment in HCHC657/24.

[19] Firstly, counsel sought a stay of the present application pending the determination of an application by Mr and Mrs Magaya seeking the rescission of the judgment in HCHC 657/24

[2] Paragraph 8.5 at page 44.
[3] paragraph 10.4 at page 44.

handed down on 9 October 2024 and cited above. A rescission of that judgment would, according to counsel, automatically dissolve the basis of the present application.

[20] The application for a postponent was resisted by Getbucks. After considering the submission, I was unpersuaded that the attempt by Mr and Mrs Magaya to offset the judgment issued against them warranted staying the present matter. Firstly, I had regard to the over-arching remarks by MALABA CJ in *Metallon Gold Zimbabwe (Pvt) Ltd & 3 Ors v Shatirwa Investments (Pvt) Ltd & 3 Ors* SC 107-21 on the Insolvency Act.

[21] In essence, the learned Chief Justice bemoaned the general tendency in the yesteryear, for rescue proceedings to drag on interminably. Whilst his focus was on corporate rescue, the Chief Justice`s guidance applies with equal force to matters such as that before me. In fact, MALABA CJ commented generally at page 8 that; -

> "The purpose of the new Insolvency Act is to provide for the administration of insolvency and assigned estates and the consolidation of insolvency legislation

[22] It did not appear prudent that a statutory application which could be granted or refused on the basis of matters placed before the court be stayed pending other court proceedings whose outcome were uncertain. In any event, the parties could have recourse to the relief or options available under the Insolvency Act once judgment was rendered in the rescission application.

[23] Secondly, the prayer for a stay of the matter invited a whole host of other matters such as the explanation for the initial default and prospects of success. Such matters could not be properly considered given that the application had been moved from the bar, without notice, unaided by affidavit and without a response from the opposing party.

[24] What Mr and Mrs Magaya had instead done, was to file (a day before the hearing), a supplementary affidavit without leave of court in violation of r 34 of the Commercial Court Rules[4]. As such the supplementary affidavit had to be expunged from the record and any references to it in argument disregarded.

[4] SI 123/2020.

[25] Thirdly, I considered that in any event, what was before the court was an application for a provisional relief which if successful, still offered the respondents some respite on the return day. Lastly, I took into account the fact that postponements of matters are strictly regulated by r 53 of the Commercial Court Rules and that no good and sufficient basis had been laid to warrant the stay.

(ii) *The invalid service of the statutory demands*

[26] Mr *Kadye*`s second point attacked service of the statutory demands filed of record. His argument went thus; - the application was based on the contention that Mr and Mrs Magaya each suited the definition of a "debtor [who is] unable to pay debts" per s 3 of the Insolvency Act. Counsel was entirely correct on the invalidity of the statutory demand.

[27] Section 3 (2) (a) of the Insolvency Act stipulates that a debtor who is served with a statutory demand and fails to meet it falls into the definition of "debtor unable to pay debts". As such, a creditor can, on that basis, move for the liquidation of such a debtor`s estate in terms of s 6 of the Insolvency Act. Mr *Kadye* argued that Getbucks had based its application on the failure by Mr and Mrs Magaya to settle a statutory demand served upon them.

[28] Mr *Kadye* submitted that the statutory demand was neither served by the Messenger of Court, Sheriff, nor creditor`s attorney. Such service being in breach of s 3 (3) of the Insolvency Act rendered the statutory demand invalid and the present proceedings fatally defective. It was indeed not seriously contested that service of the demand was effected by Getbucks' s employees contrary to the cited provision.

[29] Mr *Mutero,* counsel for Getbucks however tendered a simple response. The point *in limine* was not dispositive of the dispute. It related to but one out of the several evidentiary matters which the court was required to consider on the merits in determining whether the estates of Mr and Magaya should be placed under liquidation. In that regard, and more importantly according to Mr *Mutero*, the application was not entirely predicated on the statutory demand.

[30] Even if the statutory demands were to be discounted, there was still sufficient basis to persist with the relief sought. There were other the evidentiary issues which Getbucks could still canvass in proving its case under s 6 of the Insolvency Act.

[31] Counsel was correct. The point *in limine* could not be dispositive of the matter. In simple terms, a statutory demand is per s 3 (2) (a) of the Insolvency Act, issued on the format of Form F of the First Schedule of that statute. It grants the debtor a period of 21 days within which to settle the amount stated on the demand, or make undertakings acceptable to the creditor to pay same. Section 3 (3) of the Insolvency Act prescribes that the demand shall be served by the Sheriff or Messenger of Court on one hand, or creditor`s attorney, or attorney`s clerk.

[32] As already concluded, the demand was improperly served. But a closer reading of s 3 of the Insolvency Act discloses that the inability of a debtor to pay his or her debts is a broader inquiry. It is necessary to advert to the rest of that section which prescribes that; -

> 3. Debtor unable to pay debts
>
> (1) A debtor **is deemed** to be unable to pay his or her debts **upon proof that the debtor is generally unable to pay debts** which are due and payable, **or proof that the debtor's liabilities exceed the value of the debtor's assets**.
>
> (2) For the purposes of subsection (1) a debtor is unable to pay his or her debts if—
>
> *(a)* a creditor, by cession or otherwise, to whom the debtor is indebted in an amount prescribed from time to time so as to reflect subsequent fluctuation in the value of money, has, in the manner prescribed in subsection (3), served on the debtor a statutory demand, corresponding substantially with Form F of the First Schedule, for payment of the amount which is due and payable, or to give security to the reasonable satisfaction of the creditor for such amount, or to enter into a compromise therefor, and the debtor has for twenty one days thereafter neglected to pay the sum, or to secure or compound for it to the reasonable satisfaction of the creditor;or
>
> (*b*) **it appears from the return of the officer charged with the execution of a judgment of a Court against the debtor that the judgment has not been satisfied after a valid execution thereof.**

(3) The statutory demand must be served on the debtor by the Messenger of Court or Sheriff within whose jurisdiction the debtor resides, or by the creditor's attorney or the attorney's clerk—

(*a*) in the case of a company or private business corporation debtor by leaving the notice at its registered office or main place of business, or
(*b*) in the case of a debtor other than a company or private business corporation debtor, by handing the notice to the debtor or leaving it at his or her main office or place of residence, or delivering it to the secretary or some director, member, manager or principal officer of such association of per-sons or body corporate or in such other manner as the Court may direct.
(4) **In determining whether a debtor is unable to pay his or her debts the Court must *also* take into account the contingent and prospective liabilities of the debtor**.

[33] The phraseology marked in bold above confirms that failure to pay debts can be determined by a number of factors of which the statutory demand is but one. An applicant is therefore obliged to demonstrate (through evidence); - **number one**, a general inability or incapacity by the debtor to pay his or her debts, [*per section 3 (1)*]; **number two**, a nulla bona return of service [*per s 3 (2) (b)*], and **number three**; - an adverse position regarding the present or potential liabilities of the debtor [*per section 4*].

[34] It is all about the debtor`s overall balance sheet position. And such becomes a matter of evidence. In the result, if the statutory demand before the court is discounted, can the application still stand on other grounds? Indeed it could and in resolving this question, we may rely on the guidance in *Afrasia Bank Ltd v K.S. Trust & Anor* SC 39-18. The Supreme Court, albeit concerned with insolvency under the old law, held as follows on the evidentiary considerations in insolvency inquiries; -

"21.No evidence whatsoever was tendered in support of the allegation made in the opposing affidavit that the bank was unable to pay its debts. No balance sheet or list of creditors was produced. The opposing affidavit was deposed to on 11 February 2016, just under eleven months after the provisional order for the winding up of the bank was granted by the High Court and the liquidator appointed. The LA would have been in possession of a list of the bank's creditors, if any, as well as documentary evidence relating to the financial status of the bank.

22.It ought to have been an easy matter to produce evidence which would establish that the company was unable to pay its debts and was wound up for that reason. The failure to

> tender any evidence in support of this allegation leaves undischarged, the onus on the LA to prove both that the company was at all relevant times unable to pay its debts and that it was wound up in terms of s 206 (f) of the Act. It follows that the provisions of the Insolvency Act are not applicable to the winding up of the bank.
>
> 23.Even if I had found the Insolvency Act to be applicable, ss 42 or 43 would not have assisted the bank. Not only has it not been proved that at the relevant times the bank's liabilities exceeded its assets, but there is also no evidence that the disposition has the effect of preferring, or was made with intent to prefer, the trust above other creditors (ss 42(2) and 43(2) of the Insolvency Act). Moreover, the deliberate silence of the LA concerning the identity of the new purchaser, the fact that no agreement of sale or evidence of a sale by auction was tendered, and the failure by the bank to present any evidence that the disposition was made with intent to prefer the trust above the bank's unnamed and unlisted creditors cast doubt on the integrity of the alleged second sale."

[35] Clearly, the court was immersed in an examination of proof of soundness of the estate under consideration. I will return to the question of proof and evidence in the succeeding paragraphs. I may mention that for the above reasons, I disallowed the point *in limine* on the invalid service of the statutory demands.

ARGUMENTS BEFORE THE COURT: ON THE MERITS

[36] On the merits, Mr *Mutero* contended Mr and Mrs Magaya had committed acts of insolvency. The judgment of this court in HCHC 657/24 remained unsatisfied. Attempts to execute on it had been fruitless. The Sheriff had issued a nulla bona return. The attacks on the attempts to execute reflected insincerity on the part of Mr and Mrs Magaya. They amounted to requiring Getbucks to prove a negative averment. He cited *Nyahondo v Hokonya* 1997 (2) ZLR 457 where KORSAH JA held as follows at page 459; -

> "The general principle is that he who makes an affirmative assertion, whether plaintiff or respondent, bears the onus of proving the facts so asserted. However, where a negative assertion can be said to be an essential element of a party 's claim or defence, that party bears the burden of proving it: Kriegler v Minitzer & Anor 1949 (4) SA 821 (A) at 828; Mandebvu & Anor v Pearce t/a F & B Builders S-127-97."

[37] Further, a deed of settlement drawn up to extend some reprieve to Mr and Mrs Magaya had resulted in breach on their part. The two had demonstrated marked dishonesty not only by frustrating the execution process but by refusing to point out their assets. Getbucks had placed sufficient evidence before the court confirming the existence of acts of insolvency.

[38] Section 3 of the Insolvency Act was a deeming provision which, on the basis of the evidence placed before the court, shifted the burden of proof to the judgment debtors. Counsel cited this court`s decision in *Zimbabwe Football Association v Custen Pickwell and 15 Others & Anor* HH 12-21 per MUSHORE J who held at page 8 that; -

> "Mr Zhuwarara contended; and I accept his submission to be correct, that the respondents *".... failed to appreciate the full significance of the word* ***deemed****".* The cited passage in the *dicta* by CAVE J in *R v County Council of Norfolk (1891)* 65 LT NS 222 which was brought to my attention by him is well worth being specifically enunciated here: -
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> "When it is said that a thing is to be deemed to be something, it is not meant to say that it is that which it is deemed to be. It is rather an admission that it is not what it is deemed to be, and that notwithstanding it is not that particular thing, nevertheless, for the purposes of the Act, it is deemed to be that thing"
>
> And then for emphasis counsel for the Applicant went on to refer for my attention to the meaning given of the word "deemed" in *Pereira v Group Five (Pty) Ltd and others* [1996] 4 All SA 686 (SE) where it was held that deemed denoted *"something is a fact regardless of the objective truth of the matter"*

[39] Mr *Mutero* also cited the following passage in *NMB Bank Limited vs Selemani* HH-176-04 at page 4, the court held that; -

> "According to the deputy sheriffs return referred to above the respondent advised the deputy sheriff that he had no assets. It is my view that by advising the deputy sheriff that he had no assets which could be used to satisfy the debt the respondent placed himself within the provisions of section 11(b) even though the writ of execution was for movables. I take that view because section 11(b) places the duty to satisfy the judgment debt on the debtor on the deputy sheriff's demand. When the demand was made, he said he had no assets and abstained from indicating any other assets which could be used to satisfy the debt."

[40] In response, Mr *Kadye* distinguished *NMB v Selemani* on the basis that the provision discussed in the above passage was no longer part of our law following the repeal of the old Insolvency Act. He argued that the court was in the present inquiry, required to go beyond the mere issuance of a nulla bona return as proof of Mr and Mrs Magaya`s general inability to settle their debts. The onus lay on the applicant to demonstrate commission of acts of insolvency.

THE LAW AND ANALYSIS OF THE ARGUMENTS

[41] This application was brought in terms of s 6 (1) of the Insolvency Act. I must again state that Getbucks is herein seeking interim relief. The options available to a court faced with such application are prescribed in s 6 (10) which says-

> (10) Having considered the application **the Court may make an order contemplated in section 8, 14 or 15** or may dismiss the application or postpone its hearing **or make any other order that it considers just.**

[42] I thus raise the question as to whether an order can be made as contemplated by s 14 of the Insolvency Act. In zeroing on s 14, I have discounted, for reasons set out below, the other options set out in s 6 (10) [dismissal for frivolity per s 8, postponement, or issuance of a final order per s 15]. Section 14 of the Insolvency Act deals with provisional relief and prescribes as follows; -

> 14 Provisional liquidation order
>
> (1) **The Court may grant a provisional order for the liquidation of the estate of a debtor** if the Court is satisfied on the face of the documents that the applicable requirements of section 4, 5 or 6 have been complied with and—
>
> (*a*) in the case of a debtor other than a natural person or partnership, the debtor has resolved that it be liquidated by the Court in terms of a liquidation resolution, as long as the debtor is not prevented by law, agreement or any other legally enforceable reason, from passing such resolution; or
>
> (*e*) in the case of a debtor other than a natural person, partnership or trust, it is just and equitable that the debtor should be liquidated; or
>
> (*b*) **the Court is satisfied on the face of the documents that**—
>
> (i) in the case of a natural person there is reason to believe that the liquidation of the estate of the debtor will be to the advantage of his or her creditors; and

(ii) **the debtor's liabilities exceed his or her assets or the debtor is unable to pay its debts in terms of section 3;** and

(iii) any of the following, where applicable, is not more appropriate than liquidation—

A. corporate rescue proceedings in terms of Part XXIII; or

B. a compromise in terms of section 148; or

C. a pre-or post-liquidation composition in terms of section 119 or 120.

(2) **A Court granting a provisional liquidation order may simultaneously grant a *rule nisi* calling upon all interested parties and the respondent to appear on a date mentioned in the rule and to show cause why the debtor's estate should not be liquidated finally.**

(3) The return day of the *rule nisi* may on the application of the respondent be anticipated for the purpose of discharging the order for provisional liquidation if 24 hours direct notice is given to the applicant.

(4) If the Court does not grant a provisional liquidation order it may grant an order in terms of section 15 if it is satisfied that no one will be prejudiced by such an order without a provisional order in terms of this section, dismiss the application, postpone the hearing thereof to a determined date or make any other order it considers just.

(5) **When a provisional liquidation order is granted**, the registrar must ensure that the particulars which must in terms of section 4(2) and 6(3)(*d*) appear in the heading of the application also appear on the order.

(6) If there are reasonable grounds to believe that a debtor who is a natural person, or the management of a debtor which is not a natural person, may flee the country to avoid prosecution or to take assets out of the reach of creditors, the Court may, when it grants a provisional or final liquidation order or at any time thereafter on an application by the liquidator, issue an order that the passport of such person be handed to the liquidator for the period stated in the order.

[43] Having regard to the papers and arguments set out above, I reach the following conclusions. This being an application for interim relief, the question of standard and onus of proof come to the fore. Whilst neither counsel focussed on this aspect, the position is trite that an applicant seeking interim relief must establish a prima facie case. (See *Blue Ranges Estates (Pvt) Ltd v Muduviri & anor* 2009 (1) ZLR 368 (S), *Nyikadzino v Asher & 3 Ors* HH 36-09).

DISPOSITION

Has the applicant established a prima facie case

[44] The Insolvency Act clearly sets out in ss 3 and 14 what a court must consider in establishing whether or not a debtor can be deemed to have failed to pay its debts. On the papers before me, I note the following facts; - Mr and Mrs Magaya guaranteed a loan advanced to Planet Africa. They did not make good on that undertaking and judgment was taken against them. That judgment is extant and unsatisfied. A nulla bona return was placed before the court.

[45] Despite the emphatic reference to their prominent stature in society and considerable assets, Mr and Mrs Magaya are still to settle the judgment debt under HCHC 657/24. An order that was issues two years ago on 9 October 2024. The borrower Planet Africa, a company in which they have an interest fared no better. In fact, it is now under corporate rescue. Such is not reflective of a healthy state of a corporate entity. These facts constitute a prima facie evidence of failure by Mr and Mrs Magaya to pay their debts. The facts still stand even against the ardent protestations to the contrary. I am satisfied that Getbucks have met the requirements for the relief contemplated in s 14 of the Insolvency Act.

The return date

[46] Section 14 of the Insolvency Act contemplates the issuance of a provisional order on the papers upon application but before opposition. In *Nhende v Zigora* SC 102-22 the Supreme Court, in discussing r 69 (9) of the High Court Rules 2021[5] commented on such situation as follows; -

> "There is a reason why the Rule is couched that way. Firstly, in an urgent application, the applicant is usually granted interim relief on the basis of a *prima facie* case as the applicant would not have proved his or her case. The procedure allows a litigant which can show a *prima facie* right to be accorded interim relief that usually protects the status *quo ante* until the return date of the provisional order. See *Kuvarega* v *Registrar General & Anor* 1998 (1) ZLR 188.
>
> After the grant of interim relief in the form of a provisional order, the matter does not end there. The procedure is that the respondent is allowed to file a full dossier of opposition to the confirmation of the provisional order, which confirmation takes the form of granting the

[5] SI 202/20 whose r 69 (9) provides for the issuance of a provisional order in urgent matters.

> terms of the final order sought in the prescribed form of the provisional order. After the provisional order is granted, the full procedure of a court application, including the filing of a notice of opposition, answering affidavit and heads of argument, kicks in. It is a procedure which allows the applicant to fully prove his or her case and the respondent to disprove it without the pressure of urgency."

[47] The respondents may thus proceed to file the requisite papers in support or opposition of the final order sought herein, which is placement of the estates of Mr Magaya and Mrs Magaya respectively, under final liquidation.

The form of provisional order

[48] I reflected over the appropriate form to adopt in issuing the provisional order prayed. A brief background is necessary to explain the cause thereof. This matter was brought as a court application. Rule 25 (1) (b) as read with r 25 (2) (c) of the Commercial Court Rules prescribe that applications (such as the present one) wherein provisional relief is sought, ought to be filed through the chamber book.

[49] No issue however, arises from this obvious mishap as r 28 allows a court to overlook errors of such nature. Attached to that point is the fact that Getbucks framed the provisional relief sought in terms of Form No 26 of the High Court Rules 2021. [See page 31 of the trial bundle]. This form is inappropriate.

[50] Firstly, because by necessity and the bridging r 4 (2) of the Commercial Court Rules, we revert to the High Court Rules because there is no equivalent form catering for provisional orders under the Commercial Court Rules. Secondly because r 40 setting out the procedure for urgent applications in the Commercial Court refers by subrule (8), to the High Court Rules in the following terms; -

> "(8) Subject to this rule, a provisional order shall be in the Form prescribed by the High Court Rules with appropriate modifications depending on the nature of the case and the exigencies thereof, and shall specify—……"

[51] Thirdly because r 60 (13) (a) of the High Court Rules specifically identifies Form 27 as the appropriate form to utilise in framing provisional relief in matters of this nature. The subrule says; -

> "(13) Where a provisional order relates to the sequestration of an estate, the winding up of a company or any other matter in which interested parties generally are to be given an opportunity to oppose the granting of a final order, the provisional order shall—
>
> (a) be in Form No. 27……"

[52] Accordingly, it is hereby ordered that; -

1. The estate of WALTER MAGAYA born 6th November 1983, ID NO. 59-062334N24, of 18 Cuba Road, Mount Pleasant, Harare be and is hereby placed under provisional liquidation pending the granting of an order referred to in paragraph 4 or the discharge of this order, and-

2. The estate of TENDAI MAGAYA, born 22nd August 1984, ID No.63-1246087A63, of 18 Cuba Road, Mount Pleasant, Harare be and is hereby placed under provisional liquidation pending the granting of an order referred to in paragraph 4 or the discharge of this order.

3. Subject to the Insolvency Act [Chapter 6:07], the Master shall appoint NOREEN CHIKAKA as provisional liquidator of the above estates with the powers set out in that Act.

4. Any interested party may appear before this Court as hereunder further directed, to show cause why a final order should not be made placing the estate of WALTER MAGAYA born 6th November 1983, ID NO. 59-062334N24, of 18 Cuba Road, Mount Pleasant, and the estate of TENDAI MAGAYA, born 22nd August 1984, ID No.63-1246087A63, of 18 Cuba Road, Mount Pleasant, under final liquidation, and ordering that the costs of these proceedings shall be costs of sequestration.

5. Any person intending to appear, oppose, support and or show cause as stipulated in terms of paragraph 4 of this order, shall:

i. File and serve any notice of opposition or affidavit physically and electronically on the applicants and respondents herein,

ii. Make the necessary arrangements, through the office of the Registrar of the Commercial Division of the High Court of Zimbabwe, to facilitate their participation in these proceedings, and appear virtually before the Commercial Division of the High Court of Zimbabwe at the hearing of this matter scheduled on 9 September 2026, to support or object to the confirmation of this Provisional Order and placement of the estate of WALTER MAGAYA, and the estate of TENDAI MAGAYA under final liquidation.

6. The Applicant shall cause this order, in the short form shown in paragraph 7 of this order, to be published once in the Government Gazette, and once in a Friday edition of The Herald newspaper and file proof of such publication electronically, in time for the hearing on 9 September 2026.

7. "PROVISIONAL ORDER FOR PUBLICATION:

i. **TAKE NOTE** that on the ____ of _____2026, the Commercial Division of the High Court of Zimbabwe sitting at Harare issued an order, returnable on the 9 September 2026, for the provisional liquidation of the estate of WALTER MAGAYA born 6th November 1983, ID NO. 59-062334N24, of 18 Cuba Road, Mount Pleasant, Harare and the estate of TENDAI MAGAYA born 22nd August 1984, ID No.63-1246087A63

ii. Any interested person who wishes to support or object to the winding up of the Applicant's estate shall make the necessary arrangements with the Registrar of the High Court Commercial Division by 13:00 hours on 4th of September 2026, for his/her participation in the matter, including filing of notices and affidavits, on the online Integrated Electronic Case Management System (IECMS) and virtual appearance on the return day to support or oppose the

confirmation of this provisional order and placement of the company under final liquidation.

iii. A copy of the application and the full Order granted by the Court may be inspected at the office of the Registrar of the High Court Commercial Division at Harare and at the office of the Applicant's legal practitioners."

Danziger and Partners- applicant`s legal practitioners
Rubaya and Chatambudza-first and second respondents` legal practitioners

[CHILIMBE J___3 August 2026]